

Editor's Take: EU's China safeguard may disappoint – irk trading partners

The EU's embryonic plans to tackle industrial overcapacities from China may end up being underwhelming for proponents yet still create new trade frictions with non-Chinese EU trading partners.

The China question looms large over Europe.

It has led the United Kingdom to envisage a move unthinkable only a few years ago: [nationalising\(https://borderlex.net/2026/05/18/british-parliament-to-start-examining-steel-nationalisation-bill/\)](https://borderlex.net/2026/05/18/british-parliament-to-start-examining-steel-nationalisation-bill/) its steel industry and potentially ordering it to source inputs from elsewhere than China.

The EU itself is mulling regulation to oblige firms to diversify their input sourcing away from China.

The China issue has been behind practically every single move in the European Union involving trade and investment policy in recent years.

Tensions with Beijing are flaring up as the latter seeks to push back against a series of measures affecting the operations, bottom line and in some areas the geostrategic advantage of its firms in Europe.

The EU's foreign subsidies investigation into China's digital technology firm Nuctech straddles questions of subsidies, infrastructure security and divergent data protection regimes.

China is lobbying hard against the EU's Industrial Accelerator Act and new cybersecurity infrastructure measures modelled on the 5G Toolkit.

Beijing will be watching closely as the EU debates possible new legislative initiatives to halt what many see as a surge in Chinese imports triggered by what the EU calls China's industrial 'overcapacities' due to state subsidies and other forms of government support.

An orientation debate in the European Commission on this matter is due on 29 May.

Safeguards: the only option available?

So far the commission's cacophonous brainstorming about this issue appears to almost be live-streamed – until the president's office settles on a policy. EU member state pushback and industrial lobbying power then determine the final shape of what is to come.



The policy initiatives envisaged so far include more systematic recourse to import safeguards in certain sectors and/or a broader China-specific safeguard to complement an already very active anti-dumping policy to tackle the Chinese overcapacities question.

The commission has been on record since the re-election of United States president Donald Trump in the last quarter of 2024 that it wants to [resort more often \(https://borderlex.net/2024/11/14/blog-the-phony-trade-war-as-seen-from-brussels/ \)](https://borderlex.net/2024/11/14/blog-the-phony-trade-war-as-seen-from-brussels/) to import safeguards to tackle a global glut in available products from China, not least in light of the US shutting off its market.

Fast-forward to May 2026: the commission has launched only one safeguard investigation. Contrast this to the more than 30 anti-dumping and – to a lesser extent – anti-subsidy investigations launched in 2025 alone.

Safeguards have a range of drawbacks for those calling for greater protection in an EU context.

First, each safeguard requires a positive qualified majority of EU member states in favour. In contrast, anti-dumping and anti-subsidy measures require a qualified majority against to be blocked.

This means the consensus building exercise around a safeguard is harder and more protracted for the commission.

The final form of safeguards is not always to the taste of the industries the commission wants to protect. Industry wants to preserve its high prices. What it doesn't want, as with the EU's 2018 steel safeguard, are duty-free quotas which allow imports in at the cheaper price companies so dread.

The ferro-alloys safeguard adopted in November 2025 was pathbreaking in this regard as it introduced a complex system of variable import prices.

It took the commission eleven months to get there. It chose not to introduce a provisional measure due to strong pushback from some member states on the minimum price idea and the scope of products covered. Fellow single market member Norway also protested, saying it was a collateral victim of the safeguard.

Seen from the perspective of those advocating a large and rapid measure halting or significantly slowing down Chinese imports – say, a blanket 100% tariff on Chinese goods – none of this is optimal.

But going fast and hard against China would probably also require a new legal basis. This means new legislation. And this would take a lot of time to roll out.

Managing trade with non-Chinese EU trade partners

Another problem with this blanket China-focused protection – let's ignore the fact that it would blatantly run afoul of the basic most-favoured nation principle of the World Trade Organization – is that one would need to manage issues such as trade flow diversion and control every import from every other country to check it doesn't contain diverted Chinese products.

Hence the endurance of the safeguard idea. Safeguards indeed also cap and manage imports of the product from the rest of the world.

This, however, poses a range of diplomatic problems and trade frictions with neighbours. And a lot of haggling and negotiating with them over quota shares and a possible transfer, to their advantage or not, of quota shares.

Why chemicals?

A final note on the choice of industries selected by the EU for import protection. The overlap with the more scientific evidence of policy-induced industrial overcapacities is partial.

The problem is that these overcapacities are hard to pin down and measure.

"[A]necdotal evidence and official government declarations have indicated the presence of excess capacity resulting from state interventions, particularly in sectors such as aluminium, steel, shipbuilding, solar panels, basic chemicals, memory semiconductors and electric vehicles," notes a [report \(https://www.oecd.org/en/publications/the-market-implications-of-industrial-subsidies_e40b793f-en.html\)](https://www.oecd.org/en/publications/the-market-implications-of-industrial-subsidies_e40b793f-en.html) from the Organisation for Economic Co-operation and Development from 2025.

"However, defining excessive capacity is not straightforward (some level of spare capacity, which varies across sectors and business cycle, is normal for firms), and comparable indicators of excess capacity are not easily available over time, countries, industries and firms," this crucial report footnote says.

The OECD also says: "[O]ver the period 2005-2023, the five most subsidised sectors relative to firm revenue were, in decreasing order, solar cells and modules; semiconductors; aluminium; shipbuilding; and steel."

More specifically: "The largest increase in firms' subsidy-to-revenue ratio between 2020 and 2023 concerned the production of solar cells and modules, followed by aluminium, semiconductors, and wind turbines."

The choice of industries by the EU for possible safeguards is, in light of the above, worth highlighting.

It is notable that the EU is showing no signs of launching a safeguard investigation into aluminium – although there was some talk about it in the winter 2024-2025.

It looks, however, like the EU will launch a new safeguard investigation into three chemicals in the coming weeks. Chemicals are, however, not on the top of the list of industries identified by OECD research – to stick with this consensual reference – as benefiting from the greatest amount of Chinese subsidies.

The EU has given up protecting any solar industry. And there are also no signs of restricting imports of semiconductors: two of China's most subsidised industries.



Electric vehicles and wind turbines have been addressed via anti-dumping and anti-subsidy cases. And steel protection is now becoming permanent.

EU chemicals, however, receive a lot of policy attention and will benefit from more trade protection. Anti-dumping activity in the EU is very strongly focused on the sector already.

Why is this the case?

Perhaps the chemical industry's woes don't stem that much from Chinese subsidies but from the EU's very own policies: seeking to reduce chemical usage in industry and for consumption, forcing it to price in carbon and saddling it with high energy prices.

All these policies might be environmentally and geopolitically – such as moving away from Russian gas – desirable. That, when combined, they can throw an industry into crisis is no surprise.

Now what to make of all this?

The EU's new anti-China-overcapacities policy could well end up being underwhelming in its scope and reach. But it is bound to also affect the EU's non-Chinese trading partners.

Sealing itself off from Chinese competition also won't spare the EU from having a hard look at its ability to grow and innovate. Ultimately it needs to focus on getting its security and foreign policy outlook and institutional framework in order.

